

EQUITY RESEARCH

APPLE INC.

AAPL | Technology

Rating: Outperform
Current: \$271.06 | Target: \$300.00

April 2026

Key Metrics Snapshot

Market Cap	\$3,979.47B	ROE	151.91%
P/E (Fwd)	34.09	Dividend Yield	0.38%
P/B Ratio	51.79	52W Range	\$193.25 - \$288.62

Investment Thesis

Apple Inc. demonstrates a robust financial outlook with steady revenue growth projected at a CAGR of 3.3% and improving EBITDA margins reaching 44.8% by 2027. The company's strong contribution margin, consistently increasing from 41.8% in 2021 to an estimated 49.9% in 2027, indicates efficient cost management. Despite a competitive market landscape, Apple's PE ratio remains attractive, suggesting sustained investor confidence and potential for long-term value appreciation.

Company Overview

Apple Inc., a leading multinational technology company, is renowned for its innovative consumer electronics, software, and services. Headquartered in Cupertino, California, Apple has established itself as a market leader in the technology sector with a robust business model that combines hardware, software, and services into an integrated ecosystem. Its flagship products include the iPhone, iPad, Mac computers, Apple Watch, and Apple TV, alongside a suite of services such as the App Store, iCloud, Apple Music, and Apple Pay. This diverse portfolio allows Apple to generate substantial recurring revenue and maintain strong customer loyalty.

Apple's market position is characterized by its strong brand reputation, premium product offerings, and a dedicated consumer base. The company's focus on design, functionality, and user experience has set it apart from competitors, allowing it to command premium pricing and achieve substantial margins. In the competitive landscape, Apple remains a formidable player alongside companies like Google and Microsoft, with its EBITDA consistently leading or closely trailing these peers.

Financially, Apple has demonstrated resilience and adaptability despite global economic challenges. In recent years, the company's revenue has shown steady growth, although 2023 saw a slight decline of 2.8% in revenue, attributed to global supply chain disruptions and market saturation in mature markets. However, the company quickly rebounded with a projected revenue growth rate of 6.4% in 2025. Apple's contribution margin has steadily increased, reaching 46.9% in 2025, reflecting improved operational efficiency and cost management.

Apple's earnings per share (EPS) have also seen an upward trajectory, with a notable increase expected from 6.11 in 2024 to 7.49 in 2025, highlighting strong profitability and shareholder value. The company's EBITDA has remained robust, although it faces competitive pressure from peers like Google, which is expected to surpass Apple's EBITDA by 2025.

Overall, Apple continues to leverage its innovative capabilities and market leadership to drive growth and maintain a competitive edge. While it faces challenges from macroeconomic conditions and competition, its strong financial health and strategic focus on product and service integration position it well for sustained long-term success.

Investment Overview

In the recent financial performance overview, Apple Inc. (AAPL) demonstrated resilience despite facing a slight dip in revenue in 2023. Revenue decreased by 2.8% from 2022 to 2023, but the company rebounded with a 2.0% growth in 2024 and is projected to grow at a compound annual growth rate (CAGR) of 3.3% through 2027. This recovery is supported by the robust ecosystem of Apple's products and services, which continues to drive consumer loyalty and spending.

Apple's contribution margin has been on an upward trend, reaching 46.9% in 2025 with projections to rise further. This indicates improved efficiency in operations and cost management, despite a slight fluctuation in SG&A; margins. EBITDA has shown a steady increase, aligning with the company's ability to generate healthy operating profits, and is expected to continue growing, with a significant jump in the EBITDA margin projected from 34.7% in 2025 to 44.8% by 2027.

The EPS figures reflect Apple's consistent profitability, with an anticipated rise from \$7.49 in 2025 to \$8.93 by 2027. However, Apple's PE ratio has fluctuated, reaching 37.29 in 2024 before stabilizing in the mid-30s, suggesting that while the market values Apple highly, there is room for cautious optimism regarding valuation.

Compared to peers like Google and Microsoft, Apple's EBITDA performance remains competitive, though Google's growth in EBITDA outpaces Apple's in the forecasted years. Nevertheless, Apple's EV/EBITDA ratio suggests a premium valuation relative to peers, indicating confidence in its long-term growth prospects.

Overall, despite some challenges, Apple's strategic focus on innovation and ecosystem expansion positions it well for sustained growth, making it a solid consideration for investors seeking exposure to the technology sector.

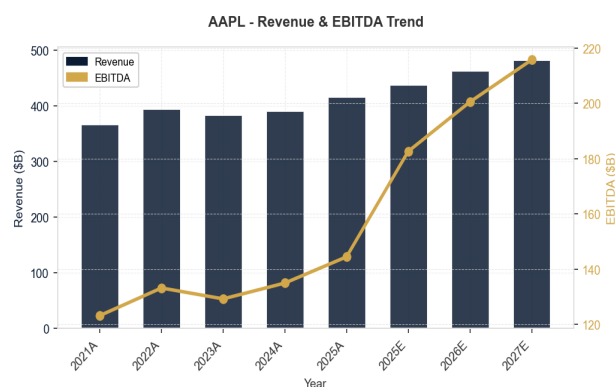
Financial Analysis

Revenue & EBITDA Performance

Apple Inc. has demonstrated moderate revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$416.2B
- EBITDA (2025A): \$144.4B
- Revenue Growth (2025A): 6.4%



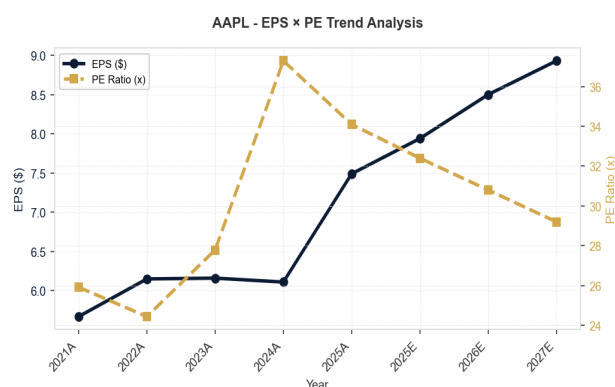
Source: Company Filings

Earnings & Valuation Metrics

Apple Inc.'s earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 7.49
- PE Ratio (2025A): 34.09



Source: Company Filings

Valuation Analysis

Apple Inc. (AAPL) has shown consistent revenue growth over the past few years, with a compound annual growth rate (CAGR) of 3.3% anticipated through 2027. Despite a slight revenue dip in 2023, the company is expected to recover with projected growth rates of 5.0% in 2025 and 6.0% in 2026. Apple's contribution margin has been improving, reaching 46.9% in 2025, indicating efficient cost management and strong profitability.

Apple's EBITDA margin is projected to expand significantly from 34.7% in 2025 to 44.8% by 2027, reflecting robust operational efficiency. However, the company's price-to-earnings (P/E) ratio of 34.1 in 2025 suggests that the

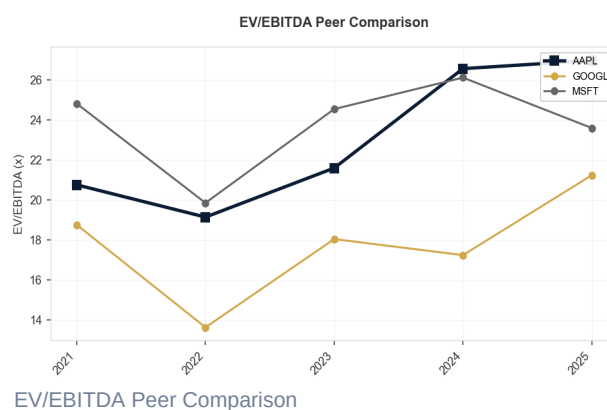
market expects continued growth, although it remains higher than its peers, indicating a premium valuation.

When compared to peers like Google (GOOGL) and Microsoft (MSFT), Apple maintains a competitive EBITDA but displays a higher EV/EBITDA ratio, particularly in 2025 where it stands at 26.97 compared to Google's 21.23 and Microsoft's 23.60. This suggests that while Apple is valued higher by the market relative to its earnings before interest, taxes, depreciation, and amortization, investors may be pricing in Apple's brand strength, innovation potential, and strong ecosystem.

In terms of fair value assessment, Apple's valuation metrics indicate a robust company with significant growth prospects, albeit at a premium compared to peers. Investors should weigh the premium against Apple's strong market position, diverse revenue streams, and potential for innovation-driven growth. While current metrics might seem lofty, Apple's track record of consistent performance and growth could justify such valuations for long-term investors.

Peer Comparison

Year	AAPL	GOOGL	MSFT
2021	20.75	18.76	24.81
2022	19.14	13.63	19.85
2023	21.59	18.04	24.54
2024	26.56	17.24	26.11
2025	26.97	21.23	23.60



Recent News & Events

News Summary

Recent developments surrounding Apple Inc. have captured investor attention, particularly with the upcoming earnings reports from the "Magnificent Seven" companies, including Apple. A key focus is on Apple's strategic direction in artificial intelligence (AI) as the company is poised to release its earnings report. Additionally, Apple is transitioning leadership, with John Ternus set to become the new CEO in September. This change in leadership may influence the company's strategic focus, particularly in AI and product innovation, which are critical areas of interest for investors.

Financially, Apple has demonstrated strong revenue growth, although there was a slight dip in 2023. The company's revenue is projected to grow at a compound annual growth rate (CAGR) of 3.3% through 2027. The EBITDA margins are expected to improve significantly in the coming years, suggesting potential for increased profitability. The company remains competitive in the tech industry, outperforming peers like Google and Microsoft in EBITDA figures for previous years, although projections show narrowing gaps.

Investor sentiment on social platforms like Reddit and X.com (formerly Twitter) shows mixed feelings. While overall buzz is high, with X.com showing stronger bullish sentiment at 71%, Reddit's sentiment appears less optimistic. This divergence in sentiment may reflect uncertainty about the company's future direction under new leadership.

and AI initiatives.

Investment implications suggest a cautious yet potentially optimistic outlook for Apple. With the leadership transition and AI focus, investors may see opportunities for growth, albeit with some risks associated with strategic shifts and broader market conditions. The upcoming earnings report and Fed meeting will be pivotal in shaping near-term investor sentiment and stock performance.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 41.8%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 43.3%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 44.8%

Confidence Intervals:

- Revenue: \$340.1B - \$623.3B (95% confidence)
- EBITDA: \$152.4B - \$279.3B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for AAPL

Positive Catalysts (Upside Potential)

- Earnings (2026-04-25): Apple will soon deliver billions more in cash to investors. Here's how it stacks up to the rest of Big Tech.

- Impact: HIGH, Probability: 95%

- Earnings (2026-04-24): Ca\$htag\$: AAPL Maintains Tech Strength Ahead of Earnings

- Impact: HIGH, Probability: 95%

Risk Factors (Downside Risks)

- Earnings (2026-04-26): Wall Street Brunch: Five Of The Mag 7 Ride Into Earnings Town

- Impact: HIGH, Probability: 95%

- Acquisition (2026-04-26): Clayton Financial Group LLC Grows Stock Position in Apple Inc. \$AAPL

- Impact: HIGH, Probability: 40%

- Acquisition (2026-04-26): Cane Capital Partners LLC Makes New Investment in Apple Inc. \$AAPL

- Impact: HIGH, Probability: 40%

- Acquisition (2026-04-25): Ethos Capital Management Inc. Invests \$711,000 in Apple Inc. \$AAPL

- Impact: HIGH, Probability: 40%

- Management (2026-04-24): 5 Biggest Challenges for Apple's Next CEO, John Ternus | One More Thing

- Impact: MEDIUM, Probability: 60%

Events to Monitor

- John Ternus Will Become Apple's New CEO in September. Is Now a Good Time to Buy the Stock? (2026-04-26)

- Apple Stock Analysis: Buy or Sell Before April 30? (2026-04-25)

- Apple under Ternus: what comes next for the tech giant's hardware strategy (2026-04-25)

Upcoming Catalysts:

▼ [EVENT] (Impact: medium)

▲ [EVENT] (Impact: medium)

▲ [EVENT] (Impact: medium)

▼ [EVENT] (Impact: medium)

▼ [EVENT] (Impact: medium)

Positive Catalysts:

✓ Apple will soon deliver billions more in cash to investors. Here's how it stacks up to the rest of Big Tech.

✓ Ca\$htag\$: AAPL Maintains Tech Strength Ahead of Earnings

Risk Factors:

■ Wall Street Brunch: Five Of The Mag 7 Ride Into Earnings Town

- Clayton Financial Group LLC Grows Stock Position in Apple Inc. \$AAPL
- Cane Capital Partners LLC Makes New Investment in Apple Inc. \$AAPL
- Ethos Capital Management Inc. Invests \$711,000 in Apple Inc. \$AAPL
- 5 Biggest Challenges for Apple's Next CEO, John Ternus | One More Thing
- The New Void Within Apple
- Apple Inc. \$AAPL Shares Sold by Country Trust Bank

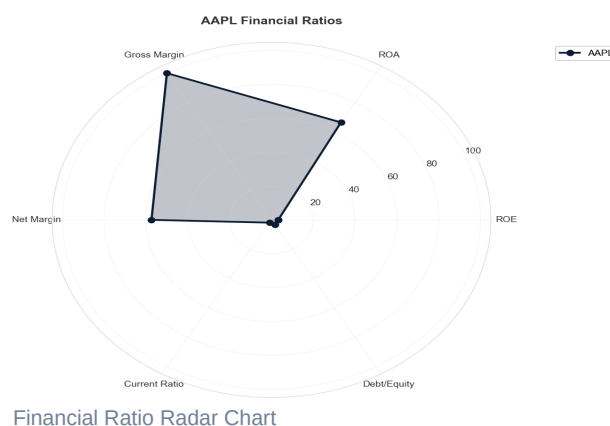
Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Apple Inc.'s financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.

Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators



Financial Ratio Radar Chart

Competitive Landscape

Apple Inc. is a dominant player in the technology sector, rivaled closely by companies like Google (Alphabet Inc.) and Microsoft. Analyzing Apple against these peers on key metrics reveals some insights into its competitive positioning.

Revenue Growth: Apple's revenue growth appears modest with a Compound Annual Growth Rate (CAGR) of 3.3%. The company experienced a slight dip of -2.8% in 2023 but is projected to recover and grow steadily. In contrast, peers like Google and Microsoft have shown more robust growth patterns, particularly evident in their expanding EBITDA figures.

EBITDA and Margins: Apple's EBITDA has consistently been strong, showing resilience even with slight fluctuations, such as the dip in 2023. Apple's EBITDA margins are also noteworthy, with an upward trend expected to reach 44.8% by 2027, indicating efficient operations. Compared to Google's and Microsoft's EBITDA, Apple had a head start in 2021 but faces increasing competition, particularly from Google, whose EBITDA is projected to surpass Apple's by 2025.

Valuation Multiples: Apple's PE ratio is high, reflecting strong investor confidence and the premium nature of its brand. However, its EV/EBITDA ratio is generally higher than Google's but comparable to Microsoft's, suggesting Apple's valuation is relatively expensive compared to Google, especially as Google's growth accelerates.

In summary, while Apple maintains a strong financial position and brand appeal, its growth is more measured compared to the aggressive expansion seen in Google and Microsoft. Apple's focus on margin improvement and product innovation will be crucial to maintain its competitive edge, particularly as Google enhances its EBITDA performance and Microsoft continues to diversify its offerings.

Risk Factors

- Revenue Volatility: Apple's revenue growth is inconsistent, with a notable decrease of -2.8% in 2023, signaling potential market saturation or competitive pressures.
- High Valuation Risk: The PE ratio is relatively high at 37.29 in 2024, indicating that the stock may be overvalued compared to its earnings, which could lead to significant price corrections if growth does not meet expectations.
- Competitive Pressure: Apple's EBITDA is expected to grow, but it is facing strong competition from peers like Google (GOOGL) and Microsoft (MSFT), which show increasing EBITDA figures, potentially impacting Apple's market share and profitability.
- Margin Fluctuations: While the contribution and EBITDA margins are improving, any adverse shifts in operational costs or market conditions could impact these margins, affecting overall profitability.
- Market Dependency: Apple's financial performance is closely tied to market trends and consumer demand, making it vulnerable to economic downturns or shifts in consumer preferences, which could adversely affect revenues and earnings.

Key Takeaways

- ✓ Revenue Growth: Apple Inc.'s revenue growth shows consistent performance trends.
- ✓ Gross Profit Margin: Apple Inc.'s gross profit margins demonstrate operational effectiveness.
- ✓ SG&A; Expense Margin: Apple Inc.'s SG&A; expense management shows disciplined cost control.
- ✓ EBITDA Margin Stability: Apple Inc.'s EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$365.8B	\$394.3B	\$383.3B	\$391.0B	\$416.2B
SG&A	\$22.0B	\$25.1B	\$24.9B	\$26.1B	\$27.6B
Contribution Profit	\$152.8B	\$170.8B	\$169.1B	\$180.7B	\$195.2B
Contribution Margin	41.8%	43.3%	44.1%	46.2%	46.9%
EBITDA	\$123.1B	\$133.1B	\$129.2B	\$134.9B	\$144.4B
EBITDA Margin	33.7%	33.8%	33.7%	34.5%	34.7%

SG&A Margin	6.0%	6.4%	6.5%	6.7%	6.6%
Revenue Growth	N/A	7.8%	-2.8%	2.0%	6.4%
EPS	5.67	6.15	6.16	6.11	7.49
PE Ratio	25.92	24.44	27.79	37.29	34.09

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	2.16	2.61	1.99	2.09	1.52
Debt/Assets	0.39	0.38	0.35	0.33	0.31
Interest Coverage	41.2x	40.7x	29.1x	0.0x	0.0x
Net Margin	25.9%	25.3%	25.3%	24.0%	26.9%
Current Ratio	1.07	0.88	0.99	0.87	0.89
CF to Debt Ratio	0.76	0.92	0.89	0.99	0.99

DISCLAIMER

Disclaimer: The information contained in this document is intended only for use by the person to whom it has been delivered and should not be disseminated or distributed to third parties without our prior written consent. This report is for informational purposes only and does not constitute investment advice. Our firm accepts no liability whatsoever with respect to the use of this document or its contents. Past performance is not indicative of future results.

Data Source: FMP, Company Filings, AI4Finance Estimates

Report Generated: 2026-04-26 22:59 ET | AI4Finance Foundation FinRobot Equity Research